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1.6.2 Economics: Facts, Theories

Using the methods, the economist observes facts, such as, changes in the price of a commodity. Similarly, the quantity demanded of that commodity also varies. And he observes these movements and comes up with a theory that these two movements are inversely related, i.e., when the price increases, the quantity demanded of that commodity decreases and vice versa. Thus, he formulates his theory of demand.

He tests his theory by collecting further facts and when his theory stands the test of time and obtains universal acceptance, the theory is raised to the status of a law.

1.6.3 Nature of Economic Laws

A Law expresses a causal relation between two or more than two phenomena. Marshall states that the Economic laws are *statement of tendencies*, and those social laws, which relate to those branches of conduct in which the strength of the motives chiefly concerned can be measured by money price.

In natural sciences, a definite result is expected to follow from a particular cause. In Economic science, the laws function with cause and effect. The consequences predicted by the data, necessarily and invariably follow.

However, Economic laws are not as precise and certain as the laws in the physical sciences. Marshall holds the opinion that there are no laws of economics which can be compared for precision with the law of gravitation.

Importance of Micro Economics

- To understand the operation of an economy
- To provide tools for economic policies
- To examine the condition of economic welfare
- Efficient utilization of resources
- Useful in international trade
- Useful in decision making:
- Optimal resource allocation
- Basis for prediction
- Price determination

A physical scientist carrying out controlled experiments in his laboratory can test the scientific laws very easily by changing the conditions obtaining there. Changes in Economics science cannot be brought about easily. As a result, prediction regarding human behaviour is likely to go wrong. There are exceptions to the Law of Demand. Thus, economic laws are not inviolable.

As unpredictability is invariably associated with the economic laws. Marshall compares them to the laws of tides. Just as it cannot be predicted and said with certainty that a high tide would follow a low tide, unpredictability prevails in Economics. Human behaviour is volatile. Economic laws are not assertive but they are indicative. The Law of Demand, for example, states that other things remaining the same, the quantity demanded of a commodity increases, as its price decreases and vice versa.

The use of the assumption 'other things remaining the same' (ceteris